Accounting for Business Combinations

Slide deck 1

This Agenda will accompany us throughout all the lessons on consolidated financial statements, until the end of the course.

I. Preface on Business Combinations

II. Consolidation and the Concept of "*control*"

III. The preparation of the consolidated financial statements

   A. Separate F/S collection and pre-consolidation adjustments to make them uniform

   B. Aggregation of the separate F/S

   C. Consolidation adjustments

      1) Investment write-off, calculation of <<non-controlling interest>> and goodwill
      2) Depreciation/amortization of plusvalues (minusvalues)
      3) Elimination of intercompany transactions: receivables/payables/revenues/expenses
      4) Elimination of intercompany profits on sale of goods
      5) Elimination of intercompany profits on sale of long-lived assets
      6) Elimination of intercompany dividends
      7) Computation of NC net income

   D. The completion of the work: the consolidated financial statements

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I. Preface on Business Combinations

A little preface:

With reference to business, we are aware that firms grow/expand (or they attempt/wish) over time. In doing so, they might expand horizontally (i.e., getting in businesses) or vertically (i.e., *integrating parts of their production processes)*.

I. Preface on Business Combinations

In doing so, firms make usually a very simple choice:

They can:

- grow internally
- grow externally (which means that they ***buy other firms***...)

In the latter case....we usually have what is called broadly speaking

"Business Combinations"

I. Preface on Business Combinations

"Business Combinations"

Business Combination happens when a company achieves control of another company through shareholders rights (i.e. buys the shares of another firm). This process is commonly known also as:

Merger and Acquisitions

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I. Preface on Business Combinations

Merger and Acquisitions

Merger

is when one company (*Acquirer*) **merges** with another company (*Target*) and the Target's operations are incorporated into the Acquirer. The Target does NOT exist as a separate legal entity.

Acquisition

is when one company (*Acquirer*) **buys** another company (*Target*) (*normally by acquiring its shares*), but the Target continues to exist as a separate entity and to keep its own assets and liabilities.

In terms of Accounting process:

Anytime one firm "acquires " another one, accounting for Merger and Acquisition is identical. The only difference will be that:

- If there is a Merger, the accounting process will take place once
- If there is an acquisition, the accounting process will happen at the end of each accounting period as the Target continues to exist.

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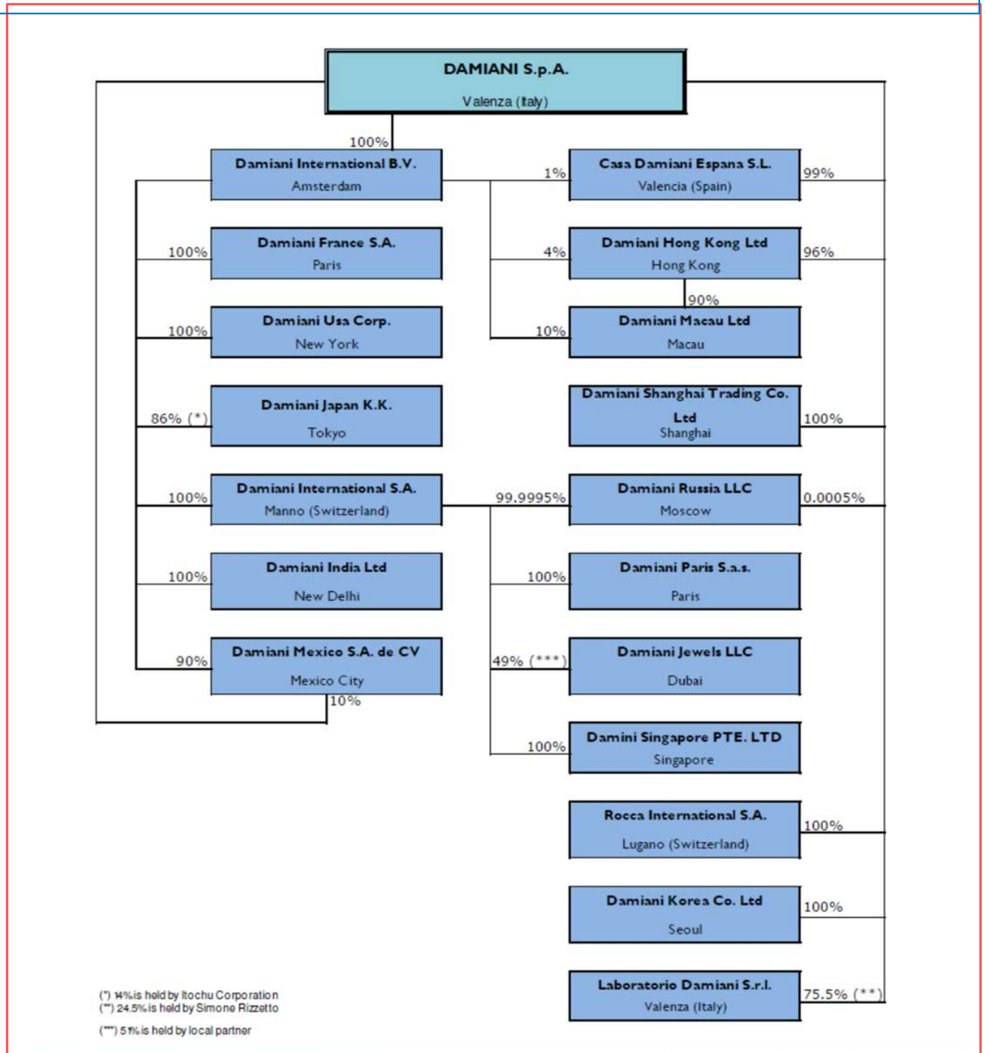
I. Preface on Business Combinations

Nowadays

- Almost all Publicly listed firms are organized as Business groups.
- Group structure is mostly a function of size...

Therefore, most of the firms you will be looking at report Consolidated Statements. Hence, it is of crucial importance to get familiar with Consolidation Accounting.

I. Preface on Business Combinations



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II. Consolidation and the Concept of "control"

From "Investments in Other corporations"

Ownership

0 -20%	20 -50%	>50%
PASSIVE INVESTMENTS	SIGNIFICANCE INFLUENCE	CONTROL
⇩	⇩	⇩
FV etc...	EQUITY METHOD	CONSOLIDATION

II. Consolidation and the Concept of "control"

- Consolidation "issues" arise when one company **controls** another company (*normally by acquiring its shares*), but the latter continues to exist as a separate entity and to keep its own assets and liabilities.

- From an accounting point of view, this is the case in which we have a "**group of companies**" and we have to prepare *consolidated financial statements*.

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II. Consolidation and the Concept of “control”

IFRS 10 assumes that control exists (and therefore consolidation is required) when the investor:

- possesses power over the investee;
- has exposure to variable returns from its involvement with the investee, and
- has the ability to use its power over the investee to affect its returns.

If all the three conditions simultaneously hold, we face a situation of control.

«the power to govern the operating and financial policies of an entity so as to obtain benefits from its activities».

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II. Consolidation and the Concept of "control"

After all these premises, **we can now clarify what consolidated financial statements are.**

At this point, we have learned two concepts:

- it is normal business practice that companies nowadays are run using **corporate groups**, i.e. structures in which there are **many distinct legal entities** that "row in the same direction" since they are all **controlled by a single company** at the top of the group *(as already mentioned, the concept of "control" is linked to the ability to exercise power over the subsidiary);*
- all the companies in a group prepare autonomously their own financial statements relating to their "individual" economic and financial situation: these are the **separate financial statements t**hat you have studied so far.

However, (for example) investors who want to purchase shares of the company at the top of a group cannot assess the economic and financial situation, and therefore make an investment decision, without having a **clear understanding of the performance of the entire group of companies.**

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II. Consolidation and the Concept of "control"

(cont'd)

- Consequently, since the 1980s, parent companies have been required to prepare an **ADDITIONAL** set of financial statements together with its separate financial statements.
- This additional set of F/S is the **consolidated financial statements**, which are **the financial statements of a group in which the assets, liabilities, equity, revenues and expenses of the parent and its subsidiaries are presented as those of a single economic entity.**
- In other words, the **consolidated F/S** provides a **simulation of what the separate financial statement of the group of companies would have been, if there had been no separate legal entities, but if they had all been a single legal entity.**

II. Consolidation and the Concept of "control"

(cont'd)

- In different words, the assets, liabilities, revenues and expenses of each subsidiary are **added to the parent's accounts as if the parents had acquired directly the assets and liabilities of the subsidiary instead of investing in its shares**.

- Therefore, the consolidation process **doesn't consist only in adding up** the individual companies' financial statements, but also in **making them consistent** with each other and in **eliminating all those items that wouldn't be there** if the activities were actually performed by the parent company only (thus avoiding double counting).

- All of this is achieved by preparing the **consolidation adjustments**, which will be the subject of study from this point onward.

II. Consolidation and the Concept of "control"

Useful terminology

- A ***parent*** is an entity that has one or more subsidiaries.
- A ***subsidiary*** is an entity, including an unincorporated entity such as a partnership, that is controlled by another entity (known as the parent).
- A ***group*** is a parent and all its subsidiaries.
- ***Non-controlling*** [or ***minority***] ***interest*** is the equity in a subsidiary not attributable, directly or indirectly, to a parent.
- ***Separate financial statements (also Stand Alone)*** are those statements presented by companies as single legal entities.
- ***Consolidated financial statements*** are the financial statements representing the group as a unique economic entity.

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III. The preparation of the consolidated financial statements

An example….what would Porsche SE Chief Financial Officer (CFO) do to start….the process?

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IIIA. Separate F/S collection and pre-consolidation adjustments to make them uniform

1. Collect the individual companies' financial statements.
2. Make them uniform as concerns (1) the accounting period's dates, (2) the accounting policies, (3) the reporting currency and (4) the layout.
3. Combine like items - 'aggregate situation'.

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Pre-Consolidation Adjustments

Point 2 of the process is usually called “pre-consolidation adjustments” phase

The purpose of the pre-consolidation phase is to guarantee the uniformity of all the statements to be aggregated with regard to:

Pre-consolidation adjustments

- Schemes and contents of the financial statements
- Reporting currency
- Closing dates of the statements
- Accounting principles and policies adopted.

We will get back on this in a subsequent slide deck

Pre-Consolidation Adjustments

Differences in formats: all formats must be aligned before starting The consolidation process.

Difference in closing dates: (a) They may use a financial statement with a different closing date as long as, the difference in the closing dates does not exceed 3 months (significant events taking place in the meantime are accounted for); (b) must prepare *ad-hoc* financial statements if difference is larger than 3 months.

Different Currencies: All Financial statements are "accounted" using the same currency. For the income statement the average exchange rate of the financial year is used; for balance sheet items exchange rate at the "closing" date is used. Note: differences in the exchange rates will generate a "currency exchange difference" to be reported in the Equity.

Foreign currency translation (example)

- Company WATER (Italy) controls COLALOCA (USA). Before consolidation, COLALOCA's financial statements must be translated into EUR. Average exchange rate is 1 USD = 1 EUR, Exchange rate on December 31 is 1 USD = 1,1 EUR.
- Exchange rates:
  - Income statement → average rate: 1 USD = 1 EUR
  - Balance sheet → closing rate: 1 USD = 1.1 EUR
- Balance Sheet (USD → EUR):
  - Cash: 80 → 88
  - Payables: 50 → 55
  - Common stock: 10 → 11
  - Revenues: 100 → 100
  - Expenses: 80 → 80

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Foreign currency translation

Exchange rate Dec 31 (@1.10)

Average exchange rate (@ 1.00)

COLALOCA B/S usd

Cash	80	10	Common Stock
		20	Profit
		50	Payables

COLALOCA IS usd

Costs	80	100	Revenues

COLALOCA B/S eur

Cash	88	11	Common Stock
		20	Profit
		2	Translation reserve
		55	Payables

COLALOCA IS eur

Costs	80	100	Revenues

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IIIB. Aggregation of the separate F/S

1. "Aggregating" means simply adding together the financial statements of the individual legal entities after the pre-consolidation adjustments.
2. This results in the **aggregate financial statement**, on which consolidation adjustments are then applied to obtain the consolidated financial statements.
3. Aggregate financial statement +- consolidation adjustments = consolidated financial statement.

IIIB. Aggregation of the separate F/S. Example....

Alfa and Beta

FSs and the aggregate accounts

	Alfa	Beta	Aggregate	Adj. #1	Adj. #2	Adj. #[]	Conso
Income Statement							
Revenues	7.500,00	2.800,00	10.300,00				
Expenses	3.600,00	1.850,00	5.450,00				
Operating Income	3.900,00	950,00	4.850,00	0,00	0,00	0,00	0,00
Financial income & expenses	(1.400,00)	100,00	(1.300,00)				
Income before taxes	2.500,00	1.050,00	3.550,00	0,00	0,00	0,00	0,00
Taxes	1.250,00	525,00	1.775,00	0,00	0,00	0,00	0,00
Net Income	1.250,00	525,00	1.775,00	0,00	0,00	0,00	0,00
NC share of income							
Balance Sheet							
Property, plant and equipment	18.000,00	5.000,00	23.000,00				
Goodwill	0,00	0,00	0,00				
Other intangible assets	1.900,00	550,00	2.450,00				
Investments	1.750,00	0,00	1.750,00				
Deferred tax assets	0,00	0,00	0,00				
Inventories	2.100,00	150,00	2.250,00				
Receivables	900,00	300,00	1.200,00				
Cash & other assets	250,00	950,00	1.200,00				
Total assets	24.900,00	6.950,00	31.850,00	0,00	0,00	0,00	0,00
Common stock	10.000,00	1.000,00	11.000,00				
Retained earnings	5.750,00	200,00	5.950,00				
Net income	1.250,00	525,00	1.775,00	0,00	0,00	0,00	0,00
NC common stock & ret earnings	0,00	0,00	0,00				
NC net income	0,00	0,00	0,00				
Provisions	600,00	1.000,00	1.600,00				
Deferred tax liabilities	750,00	650,00	1.400,00				
Trade and financial liabilities	3.100,00	850,00	3.950,00				
Other liabilities	3.450,00	2.725,00	6.175,00				
Total liabilities and equity	24.900,00	6.950,00	31.850,00	0,00	0,00	0,00	0,00

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